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Our ref: RPC/0488/PSL

Your ref: SJW/EM/WC-00123

Whitfield Carter LLP

22 Bishopsgate, London EC2N 4BQ

By email

12 March 2025

Dear Sirs

RESPONSE TO LETTER OF CLAIM

Wexford Consumer Brands Limited – Implementation Agreement dated 4 March 2024

We act for Pinnacle Systems Limited. We have your letter of claim dated 12 February 2025. Liability is denied in full. This is our client's response under the Protocol.

1. The project failure was caused by your client, not ours

1. The implementation was a collaborative project. Your client's obligations under the Agreement and the agreed Project Plan included providing clean, mapped master data, making suitably authorised subject-matter experts available for design workshops and UAT, and freezing business-process change during the implementation window. Your client failed in each respect.

2. The data migration problems your letter describes were the direct result of the poor quality of the legacy data supplied by your client and its repeated, late changes to warehouse processes. Our client raised the state of the master data formally in the project Highlight Reports of 19 July and 23 August 2024 and at the Project Board. The risk was owned by your client.

3. The decision to proceed to go-live at Banbury on 4 November 2024 was taken by the joint Project Board, on which your client's Operations Director sat, and was approved in writing by your client's project sponsor. It is not open to your client now to characterise a jointly-agreed decision as our client's reckless act.

2. Scope, change control and non-payment

4. Many of the "requirements" your client now says were not met were in truth out-of-scope items or post-contract change requests which your client declined to fund through the agreed change-control procedure. Our client cannot be liable for failing to deliver functionality your client refused to pay for.

5. Further, your client has failed to pay our client's invoices nos. 2024-0337 and 2024-0361, totalling £214,800 plus VAT, for services properly rendered. Our client reserves the right to counterclaim for that sum together with the balance of the licence fees that fell due on go-live.

3. Limitation of liability

6. Your client's attention is drawn to clause 22 of the Agreement. Liability for the heads of loss claimed (in particular the claim for £1,210,000 of business interruption and lost profit) is excluded as indirect and consequential loss, and our client's aggregate liability is in any event capped at the total charges paid under the Agreement. The cap was individually negotiated between two commercial parties of equal bargaining power, each advised, and is plainly reasonable under UCTA 1977. The figure of £3,810,000 is wholly unsustainable.

4. Conclusion

7. Liability is denied. Our client is nonetheless a commercial organisation and is prepared, without admission, to attend a mediation. We suggest the parties exchange a short list of mediators. We reserve our client's position fully and will rely on this letter on costs.

Yours faithfully

Stratford Coyle LLP